AppLovin - research pilot

Dated 2026-10-06 | Conditional assessment | material limitations and Astra review pending

1. Business and judgement

AppLovin Corporation, Nasdaq APP Class A, is an advertising infrastructure business following the June 2025 sale of its Apps portfolio. Axon Ads Manager optimizes advertiser spending; MAX auctions publisher inventory; Adjust supplies measurement and Wurl serves connected television. Advertisers buy outcomes and publishers sell audience access. AppLovin earns revenue for connecting these sides. [a1: Business; a2: segment note]

Provisional judgement: the observed economics are unusually strong, but a durable moat and sustainable monetization gains are less firmly established than recent growth. At the selected prior completed close of $281.97 on 5 October 2026 (16:00 EDT), the Base conditional value is below price. This is a pilot assessment, not an approved investment verdict: October ownership and outstanding performance awards are not fully reconciled, and the required Astra audit remains pending. [a6; model.json]

Decisive evidence	Observed result
Q2 revenue / GAAP EBIT	$1,923.7m / $1,494.3m
Q2 growth decomposition	53% revenue growth; net revenue per install +58%, installations -2%
H1 cash from operations	$2,160.4m versus $1,603.9m
June cash / debt face value	$3,053.3m / $3,600m

The five decisive variables are advertiser incrementality and retention; durable access to publisher inventory and platform-compliant data; revenue per installation versus installation volume; operating margin after compensation and infrastructure; and the common ownership claim after capital allocation. Higher auction efficiency can compound these variables, but each is contestable. [a1; a2]

2. Conditional valuation and expectations

Case	Value today*	2031 value*	Annual return*
Bear	$98	$180	-8.6%
Base	$251	$423	8.4%
Bull	$446	$718	20.6%

*USD per selected share, conditional on the stated ownership proxy and model construction. Value today discounts the same dated holder receipts used for the horizon calculation; horizon value is the estimated equity value on 6 October 2031, not a guaranteed market quote. Total returns start with $281.97 and are gross before personal tax and transaction costs. There are no forecast dividends in these cases. [reviewed-results.json] Current value and entry-hurdle illustrations are dated 6 October; price-based XIRR starts on the observed 5 October quote date, with actual dated receipts.

Forecast starting revenue is $6,829.1m, calculated from FY2025 + H1 2026 - H1 2025 continuing revenue. Base growth slows from 25% to 8% over five years; EBIT margins after economic compensation end at 75%; tax normalizes to 21%; equity cost is 11% and perpetual growth 3%. Bear growth/margins deteriorate; Bull extends advertiser adoption and monetization with higher sustainable margins. These are analyst assumptions, not management guidance or probabilities.

The model uses FCFE after interest, retains undistributed cash, and values terminal continuing earnings plus that retained cash once. It assumes debt principal is refinanced, not repaid and deducted twice; future compensation is an economic expense, not a free cash add-back. Opening ownership is a conditional 336.629m-share proxy; opening excess cash is reported June cash less an assumed $1bn operating reserve. [a2; model.json]

With Base margins, equity cost, terminal growth, ownership and cash policy held fixed, a constant annual revenue growth rate of approximately 19.2% for five years equates value to the selected price. This inverse calculation is not a unique description of market beliefs. Growth, margins, financing and required returns can substitute for one another.

Base intact-forecast return hurdle	Illustrative maximum entry
8%	$288
10%	$262
12%	$240
15%	$210

Entry illustrations assume the forecast survives scrutiny and the security/ownership claim is correct. A lower price alone does not repair a weakened business. They are not standing buy orders.

3. Objection, uncertainty and learning

The strongest opposing case is that recent pricing efficiency is a temporary extraction of advertiser value, rather than lasting incremental sales. Q2 installations fell even as revenue per installation rose sharply. If attribution overstates incremental customer acquisition, advertisers can reduce budgets; if rivals improve targeting, publisher auctions can transfer economics away from AppLovin. Unity reported Q2 Grow revenue up 35%, demonstrating an improving competing advertising business. Its segment definition is not directly comparable to AppLovin net revenue. [a2 MD&A; a10]

Platform dependency is structural. Apple requires permission for cross-company tracking and advertising identifier access. This establishes a constraint, not evidence that AppLovin violated a rule. The issuer discloses securities and derivative litigation and says loss exposure cannot be estimated. Reuters relayed a Bloomberg report of an SEC inquiry in October 2025; the archived article does not establish an adjudicated breach or a current 2026 outcome. [a11; a2 Legal proceedings; a12]

Material uncertainties: no October balance sheet or fully reconciled current claim count; contingent performance awards; independent advertiser cohort/causal lift data; litigation outcome; maturity of non-gaming advertiser expansion; refinancing cost after note maturities; and the eventual use of accumulating cash. Scenario values show these dependencies rather than resolve them. A 5% larger existing ownership claim reduces each value by approximately 4.8%. Definitive security-specific intrinsic value and an unconditional buy/hold verdict are withheld.

Watch reported install volume and net revenue per install together, GAAP margins after compensation, receivables growth and collections, advertiser evidence, rival performance, platform policy changes, share count/award vesting and actual repurchase prices. Requested updates should explain changed evidence and preserve this dated version.

Three questions for independent judgement

1. What evidence would persuade you that better advertising attribution reflects incremental customer profit rather than credit for sales that would happen anyway?

2. When might a repurchase at a high price destroy more per-share value than retaining or distributing the same cash?

3. Which change would most undermine your thesis: falling installation volume, lower margins, or lost platform access - and why?

Core evidence: 2025 10-K [a1], June 2026 10-Q [a2], proxy [a3], issuer results [a4,a5], price record [a6], competitor release [a10], Apple policy [a11]. Exact links and locations appear in the full report and source register.